Financial Matters

Apart from giving overall and general guidelines the Constitution specifically deals with the financial matters to ensure that the resources of the country are effectively utilised. It says how tax should be imposed, how the receipts of the Government needs to be credited and how it is to be spent etc. Those provisions are dealt below.

Money Bill

The money bill is defined in Article 110. A bill dealing with tax (tax by local body or local authority for local purpose is specifically excluded), borrowing, giving guarantee and amendment of law related to financial obligation of Government of India, Consolidated Fund of India, Contingency Fund of India, Public Accounts of India, declaring of any expenditure as charged expenditure, audit of the accounts of the Union or of a state is called Money Bill. Bills relating to only imposition fine, pecuniary penalties are excluded from the definition of Money Bill. When a question arises whether a Bill is a Money Bill or not, the decision of the Speaker of the House of the People (Lok Sabha) shall be final. At the time of transmitting the bill to Council of States (Rajya Sabha) and presenting to the President for assent the Speaker of the House of the People (Lok Sabha) has to certify that it is a Money Bill. The President has to give assent to the Money Bill and he has no power to return the bill.

A money bill can be introduced only in the House of the People and cannot be introduced in the Council of states. After a Money Bill has been passed by the House of the People it shall be transmitted to the Council of States for its recommendations and the Council of States shall within a period of 14 days from the date of its receipt of the Bill return the Bill to the House of the People with its recommendations. If not returned within this stipulated time it shall be deemed to have been passed by both Houses in the form in which it was passed by the House of People. If it is received within 14 days the House of the